

GUIDELINE DOCUMENT — FOR ADOPTION

COST MANAGEMENT & PROCUREMENT

DOCUMENT NO. GMN-CM-001	VERSION 1.0 — Draft for adoption	DATE 04 July 2026
APPLIES TO All expenditure on Halls of Worship and ancillary building projects	STATUS Mandatory once adopted	PREPARED BY Vollmann Akarakiri

01. PURPOSE

Past projects suffered unnecessary cost overruns because there was no common rule for estimating, tendering, paying and controlling changes. This document sets those rules. The core principles:

- 01

No budget, no project. Nothing is bought and no one is mobilised before the relevant gate budget is approved.
- 02

Quantities come from the model. The BOQ is taken off the BIM model (GMN-BIM-001), which prevents both under-ordering and padding.

03 Competition by default. Works and major supplies are tendered.

04 Every naira is traceable. Payment only against certificates, invoices and approved change orders.

02. COST PLANNING THROUGH THE PHASES

Phase / Gate	Estimate class	Accuracy	Prepared from
Gate 0 (Charter)	Class E	order of magnitude	benchmark ₦/m ² rates from previous halls
Gate 1 (Feasibility)	Class D	±30%	capacity brief + site conditions
Concept design	Class C	±20%	LOD 200 model quantities
Gate 2 (Technical design)	Class B	±10%	LOD 300 model take-off, priced BOQ
Gate 3 (Contract award)	Class A	contract sum	tendered prices

- Every estimate includes a **contingency**: 15% at Class D, 10% at Class B, 5% on contract award. Contingency is spent only through change orders.
- Every estimate includes an **inflation/escalation allowance** appropriate to the programme length — material prices in Nigeria are volatile; a project planned across more than 12 months must state its escalation assumption.
- If a design-stage estimate exceeds the approved envelope, the **design is value-engineered back into budget** at that stage. Discovering the overrun on site is a failure of this procedure.
- Benchmark rates (₦/m² by element) from every completed project are recorded in the lessons-learned report and used for the next Class E/D estimate.

03. THE BILL OF QUANTITIES (BOQ)

- Produced by the QS from the LOD 300 model at Gate 2, in elemental format (substructure, frame, walls, roof, finishes, services, external works, preliminaries).
- Spot-checked manually per GMN-BIM-001 §6.

- The priced BOQ is the basis of tender comparison, interim valuations and the final account. Lump-sum "provisional" items are kept to a minimum and each must be listed and justified.

04. PROCUREMENT RULES

Value band (set and reviewed by the Board)	Method
Minor purchases below the petty threshold	Direct purchase, receipt filed
Above petty threshold, below tender threshold	Minimum 3 written quotations , comparison sheet filed
Above tender threshold (main works, roofing, MEP packages)	Competitive tender, minimum 3 bidders , sealed submissions, opened and minuted together

Mandatory controls:

1. Tender evaluation uses a written comparison (price, completeness against BOQ, capability, programme) signed by QS and PM, recommended to the Board.
2. **Conflict of interest must be declared** — no member of the project team or Board may have an undisclosed interest in a bidder.
3. Contract is signed before mobilisation. Mobilisation/advance payment must not exceed the percentage fixed by the Board and must be secured (bank guarantee or equivalent) above the threshold the Board sets.
4. Direct negotiation instead of tender requires a written Board waiver stating the reason (e.g. genuine sole source, emergency).

05. PAYMENTS

The three-signature chain (GMN-PG-001 §3) applies to every payment:

1. **Certify** — Site Supervisor confirms the work/materials exist on site.
2. **Value & recommend** — QS values the work against the BOQ and issues an interim certificate (monthly).
3. **Approve & pay** — PM approves within delegated limit; Board approves above it. Payment is by bank transfer; cash payments only below the petty threshold.

Standard contract terms:

- **Retention:** 10% of each valuation, capped at 5% of contract sum; half released at practical completion, half after the defects liability period.
- **Defects liability period:** minimum 6 months.
- Materials on site may be certified only if stored securely and vested in the project.

06. CHANGE CONTROL

The single biggest historical source of overrun. Rules:

1. **No verbal variations.** Only a written Change Order (template GMN-T-03) signed per the payment chain creates a cost or scope change.
2. Every change order states: reason, cost effect (priced by QS against BOQ rates), time effect, and which budget line (contingency) funds it.
3. Changes above the Board threshold require Board approval **before** the work is done, not after.
4. The QS maintains a change register; the monthly cost report shows approved changes, pending changes and remaining contingency.

07. MONTHLY COST REPORT

Issued by the QS to the PM and Board every month during Phases 3–5:

- Approved budget vs. certified to date vs. **forecast final cost**,
- contingency drawdown and remaining,
- change register summary,
- cash-flow forecast for the next 3 months (so funds are raised before, not after, they are needed).

Forecast final cost exceeding budget by more than 5% is an exception event (GMN-PG-001 §5) and goes to the Board within 7 days.

08. FINAL ACCOUNT

Within 90 days of practical completion the QS agrees the final account with the Contractor: measured works, approved change orders, releases of retention, and any claims. The final account, with the as-built records (GMN-BIM-001 §10), closes the project at Gate 5.

09. REVISION HISTORY

Version	Date	Change	Author
1.0	04 July 2026	First issue for adoption	Vollmann Akarakiri

AUTHORISATION

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